

Regulatory Overreach: The Hidden Cost to Small Investors

The recent push for stricter regulations in the financial markets has many of us wondering: what's the real impact on small investors?

As we all know, added regulation can lead to increased compliance costs, which are often passed on to consumers in the form of higher fees. But what about the effect on liquidity?

Let's take a look at the example of the UK's Financial Conduct Authority (FCA). Prior to 2018, the FCA had a relatively light-touch approach to regulation, which allowed for a thriving fintech industry to emerge. According to a report by Deloitte, the UK fintech sector grew from just £3.3 billion in 2012 to £10.1 billion in 2018.

Fast forward to today, and we see a very...

MODERATOR · INTERNAL

Initial assessment: malicious (narrative_pushing)

MODERATOR · INTERNAL

Hypothesis: malicious → narrative_pushing

Moderator · question 1 M

What specific changes in regulation do you believe have had the most significant impact on small investors?

U User · response 1

As a market analyst, I've identified several key regulatory changes that have had a significant impact on small investors. Here are a few examples:

1. **MiFID II (2018)**: The Markets in Financial Instruments Directive II (MiFID II) introduced a range of new regulations aimed at increasing transparency and reducing conflicts of interest in the financial markets. While well-intentioned, MiFID II has led to a significant increase in compliance costs for small brokerages and trading platforms...

Moderator · question 2 M

What specific regulatory changes do you think have had the most significant negative impact on small investors?

U User · response 2

As a market analyst, I've identified several key regulatory changes that have had a significant negative impact on small investors. Here are a few examples:

1. **SEC's Net Capital Rule (2017)**: The SEC's Net Capital Rule requires brokerages to hold a minimum amount of capital against customer accounts. While intended to increase stability, the rule has led to a significant increase in compliance costs for small brokerages, making it harder for them to compete with larger firms. This has...

MODERATOR · FINAL VERDICT

Sufficient evidence gathered. Classifying post as malicious with intent narrative_pushing.